PRD: Tri-Party Receivables Financing Platform

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1. Idea evaluation

Verdict: worth building, but not as described. The pain is real and the core insight is sound: financing against the buyer's credit instead of the supplier's lets the supplier borrow at a much lower rate. But the idea is not new (it is supply chain finance plus dynamic discounting), and as written it mixes two different products and leaves the hardest parts unspecified. Market and regulatory points below are from my own knowledge, not fresh research; verify them before committing.

What is strong

- Pricing the risk on the buyer, who is usually larger and better rated, is the right lever. It is how reverse factoring works.
- A neutral multi-bank platform that makes banks compete on rate is a real differentiator against single-bank supply chain finance portals.
- Full order, delivery and payment visibility for the bank removes the main reason supplier loans are priced as unsecured.

Gaps in the idea and what to do about them

Gap	Why it matters	Recommendation
Steps 4 and 5 are two different products	If the buyer pays early (step 4), the supplier needs no loan (step 5). They are alternatives, not a sequence.	Treat them as two financing options per invoice: Early Payment (dynamic discounting) and Invoice Financing (supplier loan against buyer-confirmed invoice).
Buyer incentive is thin	A discount alone is weak. Buyers join supply chain finance mainly to extend payment terms, which the idea does not offer.	Add buyer benefits: optional term extension with supplier paid early, return on idle cash, supplier-stability reporting.

Gap	Why it matters	Recommendation
Funding trigger is too early	Notifying banks at order time means financing an unfinished, undelivered obligation with high dispute risk.	Start financing at buyer acceptance of the e-invoice, with an irrevocable payment undertaking. Treat order-stage financing as a later phase.
Discount may cost more than a loan	A 1% discount for paying 60 days early is about 6.1% annualised; 2% is about 12.4%. The supplier will compare this to the bank rate.	Show the annualised cost of every offer in the UI. Let banks bid the discount rate rather than fixing it.
Cross-bank settlement is under-specified	Step 9 is the hardest engineering and legal problem: two banks, one receivable, one payment.	Use existing payment rails and a bank-held escrow or nodal account. The platform never holds funds.
Double financing and disputes	The same invoice could be financed twice, or reduced by returns and credit notes after funding.	One unique invoice ID, a platform-wide lien registry, and funding only after buyer acceptance.
Regulation	Operating the financial flow may need a licence. In India, invoice discounting exchanges (TReDS) are RBI-authorised and focused on MSME suppliers, and already exist.	Position the platform as technology provider to regulated banks and NBFCs, not as the financier. Get legal advice before scoping a licence.
Three-sided cold start	Banks need volume, suppliers need banks, banks follow buyers.	Launch with one anchor buyer and its suppliers plus two or three banks.
Export scope	Cross-border adds FX, sanctions checks, trade documents and different law.	Now confirmed in scope: India suppliers, US and Singapore buyers. Build multi-currency, sanctions screening and export-proceeds tracking into the MVP (section 4.6).

Biggest risks: banks may refuse to be commoditised on price; regulatory scope may force a bank or NBFC partner; and anchor buyers may not accept the integration effort. Section 6 covers how the MVP tests each of these first.

Confirmed decisions (23 October 2026)

These answers change the scope below: the platform is now cross-border from day one and sold to a bank first. The evaluation in section 1 still stands.

Question	Decision	Effect on this PRD
Launch market	Suppliers in India; buyers in the US and Singapore	Cross-border from the start: USD and SGD invoices, INR payout, sanctions screening, export-proceeds tracking (section 4.6)
Starting relationships	None yet; build a proof of concept first, then approach banks, suppliers and buyers	Phase 0 is a clickable POC with simulated bank, insurer and FX data
Aim	White-label platform for a partner bank, which brings the suppliers and buyers	The bank is the customer and the channel; revenue comes from the bank first
Default risk	Shared by the bank and a trade credit insurer; small suppliers must be protected	Financing is non-recourse to the supplier after buyer acceptance; insurance cover is recorded per invoice
MVP routes	Early payment discount and invoice financing both in the MVP	Both routes ship in Phase 1

Where supplier protection has limits. Trade credit insurance usually covers buyer insolvency or long overdue payment, not disputes about goods or documents. So the platform needs a dispute window before funding, and the supplier stays liable only for disputes it causes. Confirm the exact cover terms with the insurer.

POC scope. The POC should demonstrate the full flow, from invoice to buyer acceptance, bank offers, insurance cover and settlement, on simulated data. The non-functional targets in section 5 apply from the MVP, not the POC.

2. Problem, goals and users

Problem. Suppliers wait 30 to 90 days for payment after delivery, so they lack working capital for the next order. Banks price supplier loans as unsecured because they cannot see or rely on the buyer's payment. Buyers have no reason to pay early.

Product goal. Let a supplier turn an accepted invoice into cash within a day or two, at a rate based on the buyer's credit, with banks competing for each invoice.

Goals

- Cut a supplier's cash wait on an accepted invoice from 30 to 90 days to 2 days or fewer.
- Give suppliers a financing cost lower than their own unsecured borrowing.
- Give buyers a measurable benefit: discount income, term flexibility or both.
- Give banks secured, fully visible exposure with low cost per transaction.

Non-goals (version 1)

- Holding client money or acting as a lender; the platform is software only.
- Order or pre-shipment financing.
- Letters of credit, forfaiting and FX hedging products; the partner bank supplies FX.
- Credit scoring models of our own.

Users

Persona	Role	What they need	What success looks like
Supplier (manufacturer)	Issues invoices, chooses financing	Fast cash, clear annualised cost, no paperwork repeat	Next order funded without a bank overdraft
Buyer	Accepts invoices, commits to pay	Simple approval, supplier stability, discount or term benefit	Early-payment savings or longer terms with no supplier complaints
Bank credit officer	Prices and funds invoices	Verified invoices, buyer commitment, exposure limits	Funded invoices repaid on due date, low default
Bank operations	Settles and reconciles	Clean files, one payment reference per invoice	Zero manual reconciliation breaks

Persona	Role	What they need	What success looks like
Platform admin	Runs the network	Onboarding, KYC status, dispute queue, audit trail	Disputes resolved inside the agreed time

Added personas. Trade credit insurer (approves buyer limits and cover, receives claims). Partner bank relationship manager (brings suppliers and buyers, configures the white-label platform).

3. Product concept and transaction flow

The platform is a neutral network where each invoice moves through a fixed lifecycle, and banks bid to fund it once the buyer has accepted it. Supplier and buyer see only their own transactions; each bank sees only invoices it is invited to or has bid on.

Invoice lifecycle

State	Trigger	Who acts	What the platform does
Draft	Supplier creates e-invoice against a purchase order	Supplier	Validates fields, assigns a unique invoice ID
Submitted	Supplier sends invoice with delivery proof	Supplier	Notifies buyer, records delivery evidence
Accepted	Buyer approves and commits to pay on the due date	Buyer	Locks the invoice and the amount; records the payment undertaking
Open for funding	Acceptance completes	Platform	Invites the supplier's and the buyer's chosen banks to bid
Offers received	Banks submit rates or discounts	Banks	Shows each offer with its annualised cost
Funded	Supplier selects an offer	Supplier, funding bank	Registers the lien, instructs bank payment to supplier
Settled	Buyer pays on or before the due date	Buyer, buyer's bank	Routes payment to the funding bank, closes the invoice

State	Trigger	Who acts	What the platform does
Disputed or overdue	Rejection, credit note or missed due date	Any party	Freezes financing, opens a dispute or escalation case

Two financing routes per accepted invoice

1. **Early payment (buyer-funded):** the supplier offers a discount for payment before the due date. The buyer pays early from its own cash or a bank loan, and the bank earns a share of the discount.
2. **Invoice financing (supplier-funded):** a bank advances cash to the supplier against the buyer's payment undertaking, then collects from the buyer on the due date. The rate reflects the buyer's credit.

The supplier and buyer may use different banks. The funding bank is paid by the buyer's bank through the settlement rails, with the platform supplying instructions and reconciliation data only.

Insurance step. Before an accepted invoice opens for funding, the platform records the buyer's insured credit limit and the cover on that invoice. If the buyer fails to pay, the funding bank claims from the insurer, and the supplier is not charged for the insured loss.

4. Functional requirements

Priority: **P0** = needed for the MVP, **P1** = next release, **P2** = later.

4.1 Onboarding and identity

ID	Requirement	Priority
ON-1	Self-service onboarding for suppliers, buyers and banks with business KYC and document upload	P0
ON-2	Role-based access per organisation (admin, finance user, approver, viewer)	P0
ON-3	Buyer-supplier relationship linking, approved by both sides	P0
ON-4	Bank onboarding with exposure limits per buyer and per supplier	P0

4.2 E-invoicing and orders

ID	Requirement	Priority
IN-1	Create, upload or import invoices (form, CSV, API) against a purchase order	P0
IN-2	Validate mandatory fields, tax details and duplicates; assign a unique invoice ID	P0
IN-3	Attach delivery proof and supporting documents	P0
IN-4	Buyer accept, reject or partially accept with reason; credit notes and adjustments	P0
IN-5	Integration with buyer ERP and with the government e-invoice system where applicable	P1
IN-6	Purchase order creation and tracking before invoicing	P1

4.3 Financing marketplace

ID	Requirement	Priority
FM-1	Invite supplier's and buyer's chosen banks to bid on each accepted invoice	P0
FM-2	Banks submit offers (rate, advance percentage, fees, validity) manually or by API	P0
FM-3	Show every offer with annualised cost and net cash received; supplier selects one	P0
FM-4	Early-payment route: supplier sets a discount schedule by payment date; buyer chooses a date	P0
FM-5	Standing rules, for example auto-accept the best offer below a set rate	P1
FM-6	Reverse-auction mode with a time window	P1
FM-7	Term-extension option for buyers with supplier paid early	P2

4.4 Settlement and reconciliation

ID	Requirement	Priority
ST-1	Lien registry: one invoice can be financed once only; transfer of rights recorded	P0
ST-2	Payment instructions to banks with a unique reference per invoice	P0
ST-3	Cross-bank settlement through bank escrow or nodal accounts; platform holds no funds	P0
ST-4	Automatic reconciliation from bank statements or API callbacks; exception queue	P0
ST-5	Overdue, dispute and recovery workflow with escalation timers	P1

4.5 Communication, reporting and administration

ID	Requirement	Priority
CR-1	Notifications by email, SMS and WhatsApp for every state change	P0
CR-2	Per-invoice thread for messages and documents visible to the parties involved	P1
CR-3	Dashboards: receivables aging, financed volume, savings, bank exposure	P1
CR-4	Admin console: dispute queue, user and limit management, fee configuration	P0
CR-5	Full audit log of every action and document version	P0

4.6 Cross-border, insurance and bank white-label

ID	Requirement	Priority
XB-1	Multi-currency invoices (USD, SGD) with INR payout; show the FX rate and total cost with each offer	P0
XB-2	Sanctions and restricted-party screening of buyers, suppliers and banks at onboarding and on each invoice	P0
XB-3	Record of buyer credit limit and cover per invoice: insurer, policy, cover percentage, claim status	P0
XB-4	Manual insurer workflow: cover request, approval, claim notification	P0
XB-5	Insurer API or file exchange	P1
XB-6	Export document set per invoice (commercial invoice, shipping bill, transport document) and tracking of export proceeds against the financing	P0
XB-7	Non-recourse flag on each financing, and a claim workflow from bank to insurer on buyer default	P0
XB-8	Assignment notice to the buyer, with the legal assignment recorded under the contract's governing law	P0
XB-9	Holiday and time-zone calendars for India, the US and Singapore in due-date and cut-off logic	P1
XB-10	Forward-rate or hedge offers from the partner bank	P2
WL-1	White-label: bank branding, own domain, own fee and limit configuration, bank-only admin console	P0

4.7 Configurable terms and rules

Every bank and insurer sets its own terms on top of standard industry practice. Terms are stored as data and applied by a rule engine; there is no per-bank code or fork.

ID	Requirement	Priority
CT-1	Bank term templates: advance percentage, pricing (fixed, or benchmark plus spread), fees, invoice size limits, maximum tenor, eligible currencies, buyer countries and goods, offer validity, cut-off times, settlement days	P0
CT-2	Insurer term templates: cover percentage, insured events, waiting period before a claim, exclusions (such as disputes), claim documents and filing deadline, premium basis and who pays, limits per buyer and per portfolio	P0
CT-3	Eligibility rules built from conditions (buyer, supplier, corridor, amount, tenor) combined with AND and OR; plain-language reason shown when an invoice is not eligible	P0
CT-4	Layered terms: platform defaults, then bank or insurer defaults, then overrides per buyer, supplier or corridor; the most specific rule wins	P0
CT-5	Versioning with effective dates; changes apply to new invoices only, and each funded invoice stores the exact terms version it was funded under	P0
CT-6	Approval workflow for term changes (maker and checker) with full audit trail	P0
CT-7	Platform guardrails that no bank or insurer setting can override, such as legal and regulatory minimums	P0
CT-8	Terms shown to suppliers and buyers in plain language with annualised cost, and whether the invoice is insured and non-recourse	P0
CT-9	Simulator: test a draft terms set against sample invoices before publishing	P1
CT-10	Custom required data fields and documents per bank or insurer	P1

ID	Requirement	Priority
CT-11	Configuration through the admin console, and by API or file import and export	P1

5. Non-functional, regulatory and compliance requirements

The platform handles other people's money instructions and credit data, so the bar is bank-grade. Figures below are starting targets to confirm with the launch banks.

Area	Requirement
Data isolation	Strict tenant separation: a party sees only its own invoices; a bank sees only invoices it was invited to or bid on
Security	Encryption in transit and at rest, MFA for all users, signed API calls, annual penetration test, secrets in a managed vault
Auditability	Immutable audit log of every state change, offer and document version, retained for the legally required period
Availability	99.9% monthly uptime for the web app and bank APIs; recovery point under 15 minutes, recovery time under 4 hours
Performance	Invoice acceptance to offers visible within 1 minute; page loads under 3 seconds at 95th percentile
Integration	REST APIs and signed webhooks for bank and ERP integration; file-based fallback (CSV, SFTP) for banks without APIs
Data residency	Financial data stored in the country of the regulated entities; confirm RBI-style data localisation rules if launching in India
Accessibility and language	Mobile-friendly web app; English plus Hindi at launch, other languages later

Regulatory checklist (needs legal confirmation before build)

- Licensing position: confirm whether a technology-only role needs any authorisation, and under what conditions banks and NBFCs may use it. In India, invoice discounting exchanges under the TReDS framework require RBI authorisation, so decide whether to partner with one or stay outside it.
- Legal assignment of receivables: contract templates that make the buyer's acceptance and the assignment to the funding bank enforceable.
- KYC and AML: reliance on bank KYC where permitted, plus sanctions screening for all parties.
- Consumer and data protection: consent records and privacy controls under the applicable data protection law.
- Taxes: invoice formats and tax reporting aligned with GST e-invoicing if the first market is India.
- Fund flow: all money moves through bank accounts held in the banks' names; the platform never pools or holds client funds.

Cross-border additions (confirm with counsel and the partner bank)

- India: export proceeds must be realised within the prescribed period and reported through the authorised dealer bank. Financing and assignment of export receivables must fit that regime and the insurance terms (ECGC or a private insurer).
- US: rules for assigning receivables and perfecting liens differ by state; get US counsel's view on filings and buyer notice.
- Singapore: confirm buyer data handling and consent under Singapore data protection law.
- Sanctions: screening against US and other relevant lists for all dollar flows.
- Data: transfers of personal and financial data between India, the US and Singapore need a clear legal basis and the partner bank's approval.

6. Business model, MVP, roadmap, metrics and open questions

Revenue model (to validate)

- Primary: white-label licence plus per-transaction fee paid by the partner bank. Later: a funding fee of a few basis points on financed volume.
- Early-payment commission share from the bank on the discount.
- Annual subscription from anchor buyers for ERP integration and reporting.

- Optional per-invoice fee for suppliers beyond a free tier.

Roadmap

Phase	Scope	Exit gate
0. Validate	Build a clickable proof of concept with simulated bank, insurer and FX data; use it to approach a partner bank; legal opinion on cross-border and licensing	One partner bank agrees to a pilot and trade credit insurance terms are agreed in principle
1. MVP	Onboarding, e-invoice, buyer acceptance, bank offers, early payment and invoice financing, insurance cover per invoice, USD to INR handling, sanctions screening, lien registry, bank-led settlement; one partner bank and a pilot group of suppliers and buyers it introduces	100 invoices funded with zero double-financing or reconciliation breaks
2. Scale	Bank and ERP APIs, auto-accept rules, reverse auction, dashboards, more buyers	5 buyers, 3 or more banks, 70% of accepted invoices receiving at least two offers
3. Expand	Term extension, order-stage financing, more corridors and banks	Decision based on Phase 2 data and regulatory advice

Success metrics

Metric	Target to test
Median days from acceptance to cash for supplier	2 days or fewer
Average financing cost vs supplier's existing borrowing	At least 3 percentage points lower (assumption)
Offers per accepted invoice	2 or more
Share of buyer invoices accepted within 3 days	80%
Funded-invoice default or dispute rate	Under 1%

Metric	Target to test
Monthly financed volume growth	Set after Phase 1 baseline

Key risks and mitigations

Risk	Mitigation
Banks resist price competition	Lead with lower acquisition and risk costs; allow private bilateral offers; start with banks that already want supply chain finance volume
Regulatory scope exceeds a technology role	Early legal opinion; partner with a licensed entity in Phase 1
Buyers do not accept invoices quickly	Anchor buyer sponsorship, ERP integration, acceptance SLA reporting
Fraud: fake invoices or collusion	Delivery evidence, e-invoice cross-check, unique IDs, lien registry, anomaly alerts
Concentration on one buyer or bank	Per-buyer and per-bank exposure limits visible to banks; diversify buyers by Phase 2

Open questions for you

- Which bank is the pilot partner, and does it have India plus US or Singapore presence, or does it need a correspondent bank?
- Which trade credit insurer, and does cover attach per invoice, per buyer limit or per portfolio? (ECGC, a private insurer, or both)
- Who bears FX risk between invoice date and payout: the supplier, the bank, or a hedge priced into the offer?
- Should the POC connect to any real bank or insurer systems, or run entirely on simulated data?
- What share of the supplier loss, if any, stays with the supplier for disputed or uninsured invoices?

7. Technology decisions

Blockchain and smart contracts: not used in the POC or MVP. All parties are KYC'd, regulated and legally accountable, so a central platform with a tamper-evident audit log gives the same assurance at lower cost. Smart contracts cannot decide disputes or insolvency, cannot replace legal assignment, insurance claims or recourse, and are hard to change when banks and insurers need configurable terms (section 4.7). Settlement stays in INR, USD and SGD through banks. Several bank-consortium trade finance networks reportedly wound down around 2022 to 2023; verify before citing.

What we build instead

Need	Approach	Priority
Tamper-evident records	Append-only audit log with hash chaining; periodic hash timestamped by a trusted third party	P0
Event integrity	Signed events and signed API calls between platform, banks and insurers	P0
Double-financing prevention	One unique ID per invoice and a platform lien registry	P0
Future ledger or document integration	Adapter layer so a ledger, shared registry or electronic trade document framework (such as TradeTrust in Singapore) can be added without changing the core	P2

Revisit at Phase 3 if: several banks ask for a shared ledger, or Singapore buyers or banks need verifiable electronic trade documents. Until then, no ledger work is scheduled.